

want to periodically check your report for accuracy. If you'd like to compare the information from all three agencies, you'll want to send for the reports at the same time. However, it may be advantageous to spread out these free reports over the course of a year.

Your FICO (Fair, Isaac & Co) score is a three-digit credit score compiled from the credit bureaus.² These scores range from 300–850, the higher the better. If your credit score is low, it may be due to late payments of bills, amounts owed, too many credit accounts, or lack of credit history. The reporting agency Equifax offers tips for improving scores, as does Consumer Credit Counseling Service.³

If there are problems with or inaccuracies in your credit report, you'll want to take steps to correct them.⁴ You'll also want to find ways to improve your credit score. Crown Financial Ministries has resources to help.⁵

CREDIT TO AVOID

There are some sources of credit that are simply bad deals. In the constant drive to create more ways for people to borrow money, many lenders have stepped over the borderline of common sense, in my opinion. But it is the responsibility of the borrower to avoid the use of credit that encourages poor stewardship. Following are a few examples of credit sources to avoid.

Bank Overdrafts

Most banks today offer what is called overdraft protection. Thus, when a customer writes a check or uses a debit card in excess of what he or she has in the bank, the payment will be honored (paid by the bank).

Sounds like a good deal, doesn't it? After all, if you write a check or use your debit beyond your balance, you don't want to be overdrawn, do you? There would be penalties for the returned check and charges from the merchant as well. So why not take the overdraft protection?